

ECONOMICS

Paper 1 Multiple Choice

45 minutes

0455/11**Predicted Paper 2026**

[Difficulty Level: MODERATE]

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet

Soft clean eraser

Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are thirty questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the one you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do not use correction fluid.
- Do not write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is **30**.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

- 1 A country has limited resources but its citizens have unlimited wants. What does this situation illustrate?
- A consumer sovereignty
 - B market equilibrium
 - C opportunity cost
 - D the basic economic problem
- 2 A student decides to attend university instead of starting a job that pays \$25 000 per year. University fees are \$5 000 per year. What is the annual opportunity cost of attending university?
- A \$5 000
 - B \$20 000
 - C \$25 000
 - D \$30 000
- 3 What is most likely to cause a country's production possibility curve (PPC) to shift outwards?
- A a decrease in the labour force
 - B a natural disaster destroying factories
 - C an improvement in technology
 - D an increase in unemployment
- 4 The price of a product rises in a market economy. What is the most likely consequence for consumers?
- A demand increases
 - B producers make losses
 - C quantity demanded falls
 - D supply decreases
- 5 Which factor will cause the demand curve for tea to shift to the right, assuming tea is a normal good?
- A a fall in the price of coffee, a substitute
 - B a fall in the price of tea itself
 - C a rise in consumer income
 - D an increase in the cost of producing tea
- 6 In a free market, the current price of a product is above the equilibrium price. What is the most likely result?
- A a shortage of the product
 - B a surplus of the product
 - C demand equals supply
 - D the demand curve shifts right
- 7 The price elasticity of demand (PED) for a good is -0.4 . Price rises by 10%. What is the effect on total revenue?
- A total revenue falls
 - B total revenue rises
 - C total revenue stays the same
 - D total revenue becomes zero

- 8** Which is a feature of a market economy?
- A** all production is carried out by the state
 - B** consumer sovereignty determines what is produced
 - C** prices are fixed by the government
 - D** resources are allocated by central planning
- 9** A government imposes a maximum price below the equilibrium price for rental housing. What is the most likely result?
- A** a shortage of rental housing
 - B** a surplus of rental housing
 - C** an increase in equilibrium price
 - D** no change in the market
- 10** A worker receives \$1 000 in wages and keeps it for three months before spending it. Which function of money is being used?
- A** a medium of exchange
 - B** a standard of deferred payment
 - C** a store of value
 - D** a unit of account
- 11** A household earns \$4 000 per month and spends \$3 600. What is the average propensity to save (APS)?
- A** 0.10
 - B** 0.11
 - C** 0.90
 - D** 1.11
- 12** What is most likely to increase the wages of software engineers?
- A** a decrease in consumer demand for technology products
 - B** a large increase in the number of computer science graduates
 - C** an increase in the demand for technology products
 - D** the introduction of automation in software development
- 13** What is the main purpose of a trade union?
- A** to represent and protect the interests of its members
 - B** to set prices of goods and services
 - C** to increase company profits
 - D** to train new employees
- 14** What is the direct effect of a firm achieving economies of scale?
- A** average cost falls as output rises
 - B** average cost rises as output rises
 - C** total revenue falls
 - D** variable cost rises per unit

- 15** A firm has fixed costs of \$2 000 and variable costs of \$30 per unit. What is the total cost of producing 100 units?
- A** \$2 030
 - B** \$3 000
 - C** \$5 000
 - D** \$32 000
- 16** A firm sells 100 units at \$10 each. The price falls to \$9 and quantity sold rises to 110 units. What is the change in total revenue?
- A** decreases by \$10
 - B** decreases by \$100
 - C** increases by \$10
 - D** increases by \$90
- 17** Which is a macroeconomic aim of government?
- A** increasing the profits of a single firm
 - B** keeping inflation low and stable
 - C** raising personal tax rates every year
 - D** reducing the wages of workers
- 18** A government raises the rate of income tax. This policy is best described as:
- A** contractionary fiscal policy
 - B** contractionary monetary policy
 - C** expansionary fiscal policy
 - D** expansionary supply-side policy
- 19** Which is an instrument of monetary policy?
- A** changing the rate of income tax
 - B** changing the rate of interest
 - C** changing the rate of tariffs
 - D** changing government spending on education
- 20** Which is a supply-side policy?
- A** a rise in consumer protection laws
 - B** government investment in education and training
 - C** increasing welfare benefits
 - D** raising interest rates
- 21** Which is the best indicator that an economy is in a recession?
- A** a rise in employment
 - B** a rise in real GDP
 - C** two consecutive quarters of falling real GDP
 - D** two consecutive quarters of rising prices

- 22** A country specialises in producing bananas for export. What is a disadvantage of this?
- A** economies of scale can be achieved
 - B** higher output per worker
 - C** lower average costs of production
 - D** vulnerability to changes in world banana prices
- 23** Employment in an economy shifts from agriculture to services. This shows the growth of which sector?
- A** primary
 - B** quaternary
 - C** secondary
 - D** tertiary
- 24** What is demand-pull inflation?
- A** inflation caused by a fall in aggregate demand
 - B** inflation caused by an increase in aggregate demand
 - C** inflation caused by higher costs of production
 - D** inflation caused by higher interest rates
- 25** Which is most likely to reduce absolute poverty in a country?
- A** a fall in progressive taxation
 - B** a fall in wages
 - C** a rise in state pensions and welfare benefits
 - D** a rise in unemployment

- 26** Which combination of changes in a country's birth rate and death rate is most likely to produce rapid population growth?

	birth rate	death rate
A	falls	falls
B	falls	rises
C	rises	falls
D	rises	rises

- 27** What is a benefit to consumers of international specialisation?
- A** a fall in consumer choice
 - B** a rise in global production costs
 - C** greater competition leading to lower prices
 - D** less trade between countries
- 28** Which government policy is an example of protectionism?
- A** abolishing tariffs on imports
 - B** imposing quotas on imports
 - C** joining a free trade agreement
 - D** reducing export subsidies

- 29** A country's exports rise significantly while imports stay the same. What is the most likely effect on its exchange rate?
- A** appreciation
 - B** depreciation
 - C** fixed rate
 - D** no change
- 30** A country has a current account deficit. This means that:
- A** exports of goods and services equal imports
 - B** exports of goods and services exceed imports
 - C** government revenue equals government spending
 - D** imports of goods and services exceed exports